



Multinationals

A multinational corporation has business operations in more than one country. It usually starts as a national company and sets up subsidiary (branch) companies abroad for production and sales.

How it works

Multinationals have several goals: to increase revenue by finding new markets; to streamline operations and production by taking advantage of global locations with lower labor and/or transport costs; and to adapt

to local cultural/market differences. A company may achieve such goals by outsourcing (using external suppliers) or offshoring (relocating functions). Companies may also insource (move operations in-house) to rightsource (find a good balance).

Case study: mapping a multinational

Sportswear company Nike has successfully spread around the globe from its corporate base in the US. It has manufacturing functions where technical expertise maximizes efficiency and keeps costs down; distribution hubs in strategic locations; marketing and retail departments in countries where it is establishing local markets; and call centers where they are cost-effective.

GLOBAL VS. MULTINATIONAL

A global company has facilities in different countries but operates as a single corporate culture with common processes. A multinational has facilities in different countries but each functions as its own entity, adapting locally, with little communication between geographic divisions.

Global



Apple is an example of a global company—the product is essentially the same except for a language change.

Multinational



McDonald's is a multinational—the product changes to suit the market. For example, it serves a shrimp burger in Japan and chicken rice porridge in Malaysia.

United Kingdom

London

One of many country HQs in major European cities, the London office serves the UK market. Nike also has a product creation center in Italy.



Regional HQ Management and core admin functions



Marketing UK campaigns and merchandising

United States

Beaverton, Oregon

Senior management are located at the company's corporate base, or "campus", its center for decision-making on global strategy, design, and marketing, and core functions.



World HQ Management, finance, legal, IT, and admin



Global marketing Branding and marketing



R and D Sport research lab and design facilities



Retail Online sales and stores across North America

Memphis, Tennessee



Distribution Hi-tech hub in location with good links